

ABBY JOSEPH COHEN

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Abby Cohen has made a name for herself as the top-ranked market analyst and the preeminent bull of Wall Street in the 1990s. In recognition of her skills, Goldman, Sachs & Co. rewarded her by making her a partner in 1998, a promotion many considered overdue. After graduating from a Queens high school in 1969, Cohen enrolled at Cornell University, where she majored in economics and computer science. Her first job out of school was as a junior economist at the Federal Reserve Board in Washington, D.C. While there, she earned a masters in economics at George Washington University. In 1976 she moved on to T. Rowe Price Associates, where she worked as an analyst.

Six years later, she returned to New York as an investment strategist for Drexel Burnham Lambert. There, Cohen developed her method for forecasting, which involves looking at the economy, individual companies, and global issues. She also adapts her models to the changing times, a lesson learned while working for the Fed. "Parts of the economic model the Fed used had stopped working," she says, "because they hadn't been adapted to reflect changes that had taken place in the economy. This was a fabulous lesson to me to be flexible in my analysis and to look beneath the usual rules of thumb to the underlying dynamics."

While others turned bearish in the mid- and late 1990s, she did not because she believes that the economy is now fundamentally different. One of those differences is the changing nature of the business cycle, which she believes has lengthened and is less susceptible to radical swings. In fact, Cohen dubbed the 1990s U.S. economy "the Silly Putty economy" while she and her kids were messing around with Silly Putty. She had pressed some against the image of a standard business cycle and then stretched it apart until the image became more drawn out and muted. She also compares the U.S. economy to a supertanker: "It may not be the fastest ship, but it's hard to knock off course." In *A Fundamental Strength*, written in 1996, Cohen weighs the importance of GDP growth, inflation, and corporate profits, among other factors, in explaining her bullish outlook.